One thing that seems to always challenge teams is what estimations mean. Story points are supposed to relate to effort, yet every team I've ever been on ends up translating those points to time, so in most cases I find it easier for teams to use a time-based estimation. There are a plethora of blogs, articles, and chapters on the association of time and story points, but if there's one thing I've learned it's this: embrace whatever comes most naturally to your team. If your team estimates in time, then use days or half-days as story points. If they like the concept of effort, then go with it. If you try to fight whatever people understand as estimates, you'll end up with numbers whose relativity constantly changes as you try to change their association of time to estimations. By embracing what comes naturally to your team, you may not end up with a textbook way of estimating your tasks, but you will end up with more reliable data over time.

For teams I've managed it normally takes three to four iterations before they can start to trust their estimations. The best way to see if your estimations are on track is to look at them over time next to the total number of tasks that you complete over time.

Even if you get to a point where your estimations and completed work are consistent, using estimations alone can't tell you if you are under- or overestimating. Overestimating work means your team is underachieving for some reason; underestimating typically leads to team burnout and an unsustainable pace of development. The tricky thing here is that estimations alone don't give you that insight into your team; you have to combine estimations with other data to see how well your team is estimating. Figure 3.8 may look great to you if you're trying to hit a consistent goal over time.

Figure 3.8. Estimates are spot on every time!